

Personal Loan — Underwriting Policy

The rules the agent must apply to every application

PRODUCT

Unsecured personal loan

OUTCOMES

Approve / Refer / Decline

VERSION

1.0 (synthetic, for training)

CURRENCY

INR

SECTION 01

The numbers we use

Pull each of these from the application documents before deciding.

- Net monthly income** — for salaried, the net salary from the income sheet; for self-employed, the average monthly bank credits.
- Existing EMIs** — the monthly amount of any existing loan repayments seen in the statement.
- Proposed EMI** — the monthly repayment for this loan. $EMI = P \times r \times (1+r)^n / ((1+r)^n - 1)$, where $r = \text{annual rate} / 12 / 100$ and $n = \text{tenor in months}$.
- FOIR** — $(\text{existing EMIs} + \text{proposed EMI}) / \text{net monthly income}$.
- Credit score** — from the credit summary.
- Average bank balance** — the average month-end balance across the statement.
- Payment returns** — the number of bounced or returned payments in the statement.
- Salary credits** — for salaried, how many of the last 6 months show a salary credit.
- Vintage** — months at the current job or in business.

SECTION 02

How to decide

Apply the steps in order. Stop at the first step that produces a decision.

Step 1 — Decline if any of these are true:

- Credit score is below 650.
- FOIR is above 55%.

- There are 3 or more payment returns.
- For salaried applicants, salary was credited in fewer than 3 of the last 6 months.

Step 2 — Refer for manual review if any of these are true:

- Credit score is 650–699 (see the exception in Section 03).
- FOIR is between 50% and 55%.
- There are exactly 2 payment returns.
- Vintage is below 6 months.
- Average bank balance is below one EMI.
- There is a large unexplained cash deposit (over 50% of monthly income).

Step 3 — Approve if none of the above apply. (In practice this means a score of 700 or more, FOIR of 50% or less, at most 1 return, and a balance of at least one EMI.)

SECTION 03

The one exception

High-income override. If net monthly income is INR 2,00,000 or more, FOIR is 35% or less, the credit score is 680 or more, and there are no payment returns, then approve even if the score is in the 650–699 band. This is the only override. All decline rules still apply.

SECTION 04

Thresholds at a glance

Measure	Approve range	Refer range	Decline range
Credit score	700+	650-699	Below 650
FOIR	50% or less	50-55%	Above 55%
Payment returns	0-1	2	3 or more
Bank balance	1 EMI or more	Below 1 EMI	-

SECTION 05

What the agent must output

- A decision** — approve, refer, or decline, with a short reason for each rule that applied.
- An underwriting memo (PDF)** — the applicant, the key numbers, the decision, and the reasons.

–A cash-flow summary (Excel) — income, obligations, the ratios, and the balance trend.